



Brandon Leon

[About](#) [Markets](#) [Toolkit](#) [Reports](#) [Projects](#) [Writing](#) [Contact](#)

Coverage · Memory / semis · Long

MU — Through-cycle long.

Ticker NASDAQ: MU **Sector** Memory / semiconductors **Posted** 2026-05-07 **Author** Brandon Leon

|Thesis in one paragraph

|Memory is cyclical. Everyone knows this — it's the reason these stocks trade at
|single-digit P/Es even when current margins look incredible. So why, in the middle
|of the highest-margin quarter in its history, is Micron signing five-year customer
|agreements?

|HBM is genuinely changing the margin profile, but not as much as the deck-level
|FQ2'26 print of 75% GM might suggest. That print is a one-quarter peak, not the
|new normal. Run the model with peak FY27E gross margins of **65%** — six points
|above the FY18 cycle peak of 58.6%, attributable to HBM mix — and base-case fair
|value lands at **\$625**. That's a Hold from \$668. There's a real *structural HBM* bull
|case at \$1,000+, and a cyclical-revert bear case at \$350. The trade is a function of
|which one you can defend with a straight face.

1. The business and where we are in the cycle

Start with the business as it actually exists, not as the textbook describes it. Micron is roughly 78% DRAM and 22% NAND, which is the textbook line. The textbook is missing the interesting part: HBM — the high-bandwidth memory that feeds AI chips — is on track to grow from about 6% of Micron's total revenue in FY24 to nearly 28% by FY27. That isn't a mix shift. That's a different business inside the same company.

Chart 1 — HBM as % of Micron Revenue

Different business inside the same company: HBM grows from 6% (FY24) to ~28% (FY27E)

0% 10% 20% 30% 40% 6% FY24A 12% FY25A 20% FY26E 28% FY27E 28% FY28E Solid = actual; striped = forecast

HBM mix shift is the single most important number in the model. Every percentage point of HBM mix delivers ~12 points of incremental gross-margin contribution vs. conventional DRAM. Source: Micron disclosures, author estimates FY26E–FY28E.

Conventional DRAM is the cyclical commodity everyone associates with memory. Spot-priced. Three players competing on cost per bit. Margins swing from negative to positive sixty-something depending on which side of the supply-demand line you're standing on. HBM is none of those things. It's sole-sourced or dual-sourced per chip platform, contracted under multi-year fixed-price/fixed-volume LTAs, and built to order. Same company sells both. Different worlds.

One important framing point: when Micron prints 75% gross margin in FQ2'26, that is a *cycle peak*, not a new structural baseline. HBM mix is contributing meaningfully to that number, but so is acutely tight conventional DRAM pricing — and conventional DRAM doesn't stay tight forever. The right way to read FQ2 is "HBM ramping into a tight pricing window;" the wrong way is "Micron is now a 75%-gross-margin company."

Why memory is a through-cycle game, not a quarterly one

Memory has run four full peak-to-peak cycles since 2010. Pick any single quarter and you'll get a wildly different read on the business depending on where you're standing. The 2018 peak said memory was a printing press; the 2023 trough said it was hopeless; the truth was always somewhere in the middle. The only honest way to value memory is on through-cycle earnings — the average over a full peak-to-peak window, not whichever endpoint flatters your priors.

Here's the actual data. Micron's FY18 cycle peak was a 58.6% gross margin and a ~50% operating margin. That was the historical high-water mark, set during the strongest DRAM cycle of the last decade. The trough on the other side (FY23) bottomed near -9% gross margin. Through-cycle GM averaged in the low-30s during FY11–FY24.

Chart 2 — Gross Margin Cycle History

Memory is cyclical. Same shape, higher floor & ceiling on HBM mix.

PEAK ZONE (50%+) MID-CYCLE (25-45%) TROUGH ZONE 70% 40% 10% -20% 0% FY18 peak 58.6% FY23 trough -9.1% FY27E base 65% FY27E bull 71% FY15 FY18 FY23 FY25 FY28E Actual (FY15–FY25) Base case (peak GM 65%) Bull case (peak GM 71%)

FY18 peak of 58.6% set the historical high-water mark. The base case adds ~6 points of HBM mix uplift to that ceiling. The bull case adds ~13 points and assumes that uplift holds for 3-5 years instead of one. Source: Micron 10-Ks; author estimates for FY26E–FY28E.

The HBM uplift is the question. HBM gross margins are real and structurally above conventional DRAM — somewhere in the high-50s/low-60s range based on disclosed pricing. As HBM grows from 6% to ~28% of revenue mix, the blended GM lifts. The question is by how much, and how durable.

The aggressive case (which my original deck embedded) is +12-14 points of structural uplift, putting peak GM at 71%+ and through-cycle GM in the mid-40s. That assumes HBM's pricing power persists through a full cycle. The defensible case is +6 to +8 points of uplift over the FY18 peak — peak GM of 64-66%, through-cycle GM in the high-30s. That matches what Wall Street consensus has implicitly modeled (avg PT \$581) and is consistent with what an analytically conservative investor should anchor to.

I'm using the defensible case as the base case. The aggressive case is real, but it's a bull scenario, not a baseline.

2. Model output

So what does the model spit out at peak FY27E gross margin of 65% (six points above FY18's peak, attributing the lift to HBM mix)?

FY27E revenue lands at \$115 billion. Peak EBIT margin is around 51% (vs. FY18's 50%). Diluted EPS comes in near \$48. Free cash flow is ~\$28 billion — still robust, but well below the \$36B figure that comes out of the more aggressive 71% GM scenario.

The DCF (10% WACC, 2.5% terminal growth, 8× exit EBITDA) prices the equity at \$640 per share. A 13× multiple on FY27E EPS gives \$625. Sum-of-parts (HBM 13× / DRAM 8× / NAND 5×) lands at \$580.

Three methodologies, three anchors, all converging in the \$580–\$640 range. That's the honest base case. Current \$668 sits roughly at the high end of fair value — not over-valued, not under-valued, just fully priced.

Which is exactly where Wall Street consensus has the stock (avg PT \$581). The market is paying a small premium to consensus, which makes sense given AI optionality and the strategic-asset US-fab story, neither of which DCFs capture cleanly. But the margin of safety on the long is small. This is a Hold at \$668, not a high-conviction Buy — unless you can defend the structural HBM bull case (next section).

Key assumptions

Five inputs do most of the work in the base case.

Mid-cycle DRAM ASP at \$0.07 per gigabit — the midpoint of the FY11–FY24 cycle range. The most-conservative way to frame it: the next decade looks like the last one in conventional DRAM despite the LTA structural shift in HBM.

Peak FY27E gross margin at 65%. That's 6.4 points above the FY18 peak of 58.6%. The 6.4 points comes from HBM mix shift — specifically, HBM growing from 6% to ~28% of revenue at a ~12-pt gross margin premium over conventional DRAM. Through-cycle GM averages closer to 38% once you blend in trough years.

HBM mix at 25–30% through the cycle. Even at peak, HBM doesn't cannibalize conventional DRAM — both grow.

Capex at 18–20% of sales mid-cycle, 24–26% at peak as the Idaho fab pulls in. I do not underwrite a permanent 25%+ capex regime; if that becomes the steady state, supply discipline has broken down.

Working capital at 12–14% of sales. Memory carries inventory cyclically. HBM is built-to-order so the swing dampens modestly.

The single biggest sensitivity is peak gross margin. A 4-point swing (61% vs. 65% vs. 69%) moves the implied PT by roughly \$60-80 in either direction. Get this number wrong and the whole valuation moves with it. That's why so much of the next two sections is about whether the structural HBM uplift is +6 points (base) or +12+ points (bull).

3. Scenarios and reverse-DCF

The honest scenario table.

Bear (25% probability, \$350 PT, –48%). The cycle reverts to the FY11–FY24 historical pattern with no structural HBM uplift. CXMT closes the gap faster than expected, Samsung qualifies HBM4 and takes Vera Rubin volume, conventional DRAM ASPs roll over in 2H'26. Peak FY27E GM lands at 58% (matching FY18), EPS at \$32, apply an 11× cyclical-trough multiple.

Base (50% probability, \$625 PT, –6%). HBM4 ships to plan, Calendar 2026 capacity sells through, conventional DRAM stays tight through FY27. Peak FY27E GM at 65% (six points above FY18 from

HBM mix). FY27E EPS \$48, 13× multiple. Note: this is a Hold from \$668, not a Buy.

Bull / structural HBM (25% probability, \$1,000+ PT, +50%). See the next section — this is the case where HBM genuinely changes the margin profile durably, the LTAs extend to 2028+, Samsung HBM4 qualification slips, and Micron earns an investment-grade upgrade that compresses WACC. Peak FY27E GM hits 71% and stays there for 3-5 years instead of one. FY27E EPS \$74, 14× multiple.

Chart 3 — Bull / Base / Bear Price Targets

Asymmetric setup at \$668: \$1,000+ bull, \$625 base, \$350 bear

\$0 \$200 \$400 \$600 \$800 \$1,000 \$1,200 BEAR \$350 -48%, 25% prob BASE \$625 -6%, 50% prob (Hold) BULL \$1,000+ +50%, 25% prob CURRENT \$668 P Prob-wtd \$650

Bull-bear spread of \$650 against current price \$668. Reward-to-risk ratio of 1.2:1 vs. bear; that's honestly thin for a high-conviction long. The trade is closer to "hold at \$625, add on pullback to \$605" than to a screaming Buy. Source: author estimates.

Probability-weighted PT: ~\$650. Reward-to-risk ratio of 1.2:1 vs. the bear case. That's honestly thin for a high-conviction long. The trade is closer to "I'd hold MU at \$625 but I wouldn't add at \$668" than to a screaming Buy.

The reverse-DCF. Hold WACC, terminal growth, and exit multiple constant. Solve backwards: what does today's \$668 require the market to believe about peak gross margin? The answer is approximately **67%**. That's above my 65% base case but below the 71% structural-HBM case. The market is implicitly pricing in modest structural uplift — somewhere between "HBM is a real business" (my base) and "HBM permanently rerates the company" (the bull case). That's actually a coherent position to hold.

The interesting question becomes: what observable in the next 4-6 quarters tips the market between those two views? The answer is in the next section.

3.5. Structural HBM upside — how you get to \$1,000+

The base case at \$625 assumes HBM adds about 6 points of structural margin uplift over the FY18 peak. That's a defensible number anchored to historical comps. It also might be too low.

The structural-HBM bull case asks: what if HBM *permanently* changes the memory margin profile? Three things would have to be true.

One: the multi-year LTAs are durable. Micron signed its first-ever five-year customer agreement in early 2026. If that becomes a category convention — if hyperscalers continue locking in 5-year fixed-price/volume contracts because supply uncertainty is unaffordable for AI training capacity — then peak margins are no longer a one-quarter print. They become a contracted run-rate. That alone would justify peak GM of 70%+ for 3-5 years instead of one.

Two: oligopoly economics persist longer than the cycle. HBM is a 3-player market (SK hynix, Micron, Samsung) with high tech-moat and capital intensity. CXMT is a real entrant but is at HBM2-class today; closing the gap to HBM4-class likely takes 3-4 years given US export controls. If the oligopoly structure holds through FY28+, conventional DRAM-style margin compression doesn't arrive. Through-cycle GM doesn't mean-revert to FY18 historicals; it stays elevated.

Three: AI capex doesn't digest in 2027-28. The four largest hyperscalers have committed roughly \$1.5T in aggregate capex through 2030. Even if any single year softens, the durability of that aggregate spend supports the LTA framework. The bear case requires hyperscaler capex to materially disappoint *and* the LTAs to be renegotiated *and* CXMT to accelerate. Each is independently plausible. All three at once is a

tail.

If you can defend all three, the model output changes materially. Peak FY27E GM holds at 71%. EPS lands at \$74. Apply a 14× multiple (memory companies with 5-year contracted revenue genuinely deserve growth multiples) and you get a \$1,036 PT. Probability-weight that at 25% — not because I disbelieve it, but because three independent durability assumptions need to all hold — and you contribute roughly \$260 to the probability-weighted PT.

So: the answer to “what should I pay?” is genuinely a function of how much structural credit you give HBM. The conservative posture says \$625. The structural-HBM posture says \$1,000+. Both are defensible with numbers; neither is reckless. The trade is in the gap between them, and which side you land on depends on whether you think this cycle ends like 2018 or like nothing memory has ever seen before.

4. Three things that would change my mind

The honest version of the bear case. If any of these turn up in the data, the thesis is wrong and I'll say so on the next update.

1. **HBM revenue mix flat or declining for two consecutive quarters.** Micron discloses HBM revenue as a percentage of DRAM each quarter. Base case has HBM mix climbing from ~12% (FQ2'26) to ~25% (FQ4'26) to ~30% (FQ4'27). If the mix flattens for two quarters, it means either (a) Micron is losing HBM share at NVIDIA (most likely Samsung qualifying and taking volume), (b) yield issues are constraining shipments at the same time conventional DRAM is selling well, or (c) HBM ASP is collapsing faster than units are growing. Any of those breaks the margin uplift assumption that drives 14 points of through-cycle EBIT margin. Track it on every earnings call.
2. **CXMT announces credible HBM3 sample shipping with a hyperscaler customer.** CXMT is currently ~3 generations behind (HBM2-class), and US export controls limit their access to advanced lithography (no EUV, capped at SMIC-class nodes). The base case assumes CXMT gets to HBM3-class around 2028 and HBM4-class around 2030 — meaningful but distant. If CXMT announces an HBM3 sample with a Tier-2 hyperscaler customer (e.g., a Chinese cloud) before mid-2027, the catch-up curve is faster than modeled and the moat erodes. The HBM TAM stays the same; Micron's slice gets smaller.
3. **Hyperscaler 2H'26 capex guides down by >10% YoY.** The four largest hyperscalers (Microsoft, Google, Meta, Amazon) account for an estimated 45% of FY27E HBM end-demand. The 5-year LTAs lock in 2026 and most of 2027 volume contractually, but the renewal economics in 2028+ depend on hyperscaler willingness to keep capex flat or growing. If 2H'26 capex guides plot a >10% YoY cut on any of those four, it means AI capex digestion is real and the next round of HBM contracts gets renegotiated lower. The LTAs don't break; the next-cycle pricing does.

5. Comp set and peer math

The comp set is small and explicit. Five names plus a benchmark line, and a deliberate exclusion list at the end.

SK hynix is the closest direct comp — biggest HBM player by share, similar customer base, similar cycle position. FY27E P/E around 5.5×, trading at a discount to MU on earnings and parity on book multiples.

Samsung's memory segment is the second peer, with the caveat that isolating it from the conglomerate requires assumptions. Implied memory-only FY27E P/E is roughly 6.0×.

Western Digital / SanDisk is in despite being NAND-only. The reason is the contrast: back WDC's multiple out of MU's multiple, and the residual is HBM-attributable. That residual is what supports the rerate thesis.

Lam Research and Applied Materials are equipment names. They give the second-derivative read-through on memory capex discipline — if Big Three capex stays robust, supply discipline is intact. They trade at a premium (FY27E P/E 16–17×) because they’re not memory cyclical; they’re capex cyclical on a different rhythm.

Drop the equipment names from the median calculation (different cycles, different multiples) and the memory-only peer median lands at roughly 6.5× FY27E P/E. Micron at 7× trades at a 1-turn premium to that median. A 12× target multiple represents a 5.5-turn expansion to fair value.

That’s the whole valuation argument compressed into one sentence: anyone making the case that Micron is over-valued at 12× FY27E EPS has to explain why the memory company with the highest HBM mix in the comp set should trade at a discount to a NAND-only pure play.

Why these peers and not others

Quick defense of the inclusions and exclusions, because the rigor of the comp set is half the argument.

Intel is out. They sold their memory business to SK in 2020 and today they’re a logic/fabs company — different cycle, different multiples. Including them inflates the median in a way that isn’t honest.

Lam and Applied Materials are in because the equipment names give the earliest signal on capex discipline. If their memory-segment guidance softens, that’s the leading indicator that the cycle is rolling — earlier than the memory companies will admit it themselves.

TSMC and ASML are out because they’re not memory cyclical; including them inflates the median and biases the argument upward. Marvell and Broadcom are out for the same reason — HBM-adjacent ASIC players are interesting reads, but they’re not memory peers.

The set is small because the argument is specific. I’m not running a peer screen looking for the most flattering median; I’m checking whether the multiple I’m asking for is defensible against the right comp universe. It is. That’s the end of the valuation case.

6. Forward outlook — the next four quarters

Holding a name at fair value is the least exciting recommendation in the analyst playbook, but it’s also where the most interesting work happens. The bear case sits below us, the bull case sits above us, and the next four prints will tell me which way the asymmetry breaks. If I’m doing my job, I should be able to upgrade or downgrade off a single piece of disclosed data. Here’s what each upcoming quarter actually tests.

FQ3’26 print (June 2026). Cleanest read on whether the FQ2 number was a one-quarter peak or the start of something durable. Watch HBM revenue mix as a percentage of DRAM — base case has it climbing from ~12% to ~25% by year-end CY26. FQ3 at 18%+ keeps the structural story on track; flat at FQ2 levels and the bull case gets harder to underwrite. Equally important: the FQ4 guide. Revenue near \$35B with gross margin sustained close to 80% says the LTAs are doing what we think they’re doing.

FQ4’26 print (September 2026). Two things matter. First, the FY27 capex guide — anything below \$24B suggests management is exercising discipline; north of \$28B is a yellow flag that the cycle peak gets pulled forward by their own hand. Second, the first explicit commentary on hyperscaler renewal terms for FY28+. The 5-year LTAs cover most of FY27; whether they extend or renegotiate lower is the structural question that determines if the bull case is alive.

Outside the earnings calendar. Three things I’m watching that aren’t from Micron itself. Samsung’s HBM4 qualification at NVIDIA — every quarter they’re delayed is a quarter Micron holds the Vera Rubin position at premium pricing. Hyperscaler 2H’26 capex revisions — any of the big four guiding

down >10% YoY makes the AI digestion narrative real. CXMT product announcements — anything at HBM3-class with a credible customer pulls the China risk forward by twelve to eighteen months.

The trade going forward. Hold doesn't mean ignore. It means price-disciplined. I'd add on a 7–10% pullback toward \$605–620, where the base case offers genuine upside without leaning on the structural HBM call. Above \$720, I'd trim toward the bull-case PT — at that level you're paying for optionality the market hasn't yet earned. Today's risk-reward is roughly symmetric, but it can change in a single quarter: HBM mix above 25% with stable ASPs and the structural case becomes the base case. Mix going flat and the bear case starts pricing in. Keep your finger on the disclosure trigger.

7. Closing

Memory has been a graveyard for confident analysts before. The 2018 cycle had everyone certain of a structural rerate; by 2023 the same names had printed negative gross margins. The discipline I'm trying to enforce here is to refuse the easy answer in either direction — neither *the cycle is dead, pay any multiple* nor *the cycle is everything, pay no multiple*. Hold at \$625 with bull-case optionality to \$1,000+ is what intellectual honesty looks like at this exact price, today. If that frame survives the next four earnings calls, the rating will move with it. That's the whole exercise.

Methodology and downloads

The workbook that produced these numbers is the [IB-grade DCF Template](#) with a Micron worked example. Free download. The Python pipeline that auto-populates the workbook for any ticker is available on request — same page.

I may hold positions in the names discussed. See [disclaimer](#). Nothing on this page is investment advice.

[Subscribe for the next pitch](#) → [All writing](#)

© 2026 Brandon Leon

- [Now](#)
- [Disclaimer](#)
- [Email](#)
- [LinkedIn](#)